

Henri Fayol's 14 Principles of Management with Examples

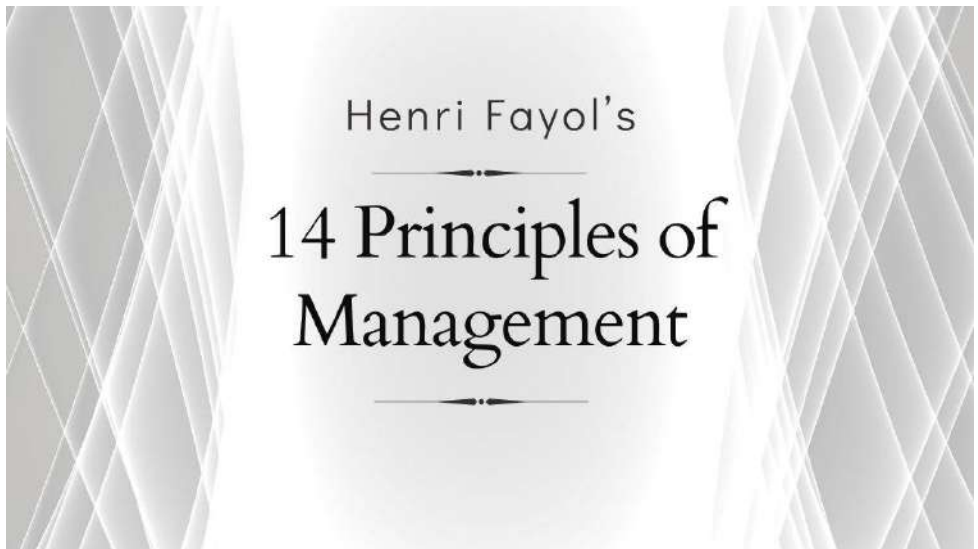


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Manager - Content

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*Henri Fayol, a French engineer and manager, developed a set of management principles in the early 20th century that became foundational for modern management practices. The **Principles of Management** are rules applied to various types of organizations, including businesses, nonprofits, and governmental agencies, to improve efficiency and effectiveness in management. In this blog, we will discuss the **Henri Fayol 14 principles of management with examples**.*



In 1916, Henri Fayol published his work "**Administration Industrielle et Générale**," in which he postulated the 14 principles of management for general use that are still followed by businesses and organizations today. Listed below are Henri Fayol's 14 Principles of Management with Examples -



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- Division of labor
- Authority and Responsibility
- Discipline
- Unity of Command
- Unity of Direction
- Subordination of Individual Interest
- Remuneration
- Degree of Centralization
- Scalar Chain
- Order
- Equity
- Stability of Tenure of Personnel
- Initiative
- Esprit de Corps

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Who Was Henri Fayol? Why His Principles Are Still Relevant?

Henri Fayol was a mining engineer who worked for the French mining company Commentry-Fourchambault and Decazeville, first as an engineer, then promoted to general manager and then director of administration from 1888 to 1918. He wrote his famous “**General and Industrial Management**”. He developed theories on



management and work organization that were widely influential in the early 20th century; his school of thought is known as the Classical Theory of Management.



Image - Henri Fayol (Image source – Wikipedia)

Why Henri Fayol's Principles Are Still Relevant

During the early 20th century, organizations began to recognize the need for structured management approaches to improve efficiency and productivity. Henri Fayol's management principles offered managers a comprehensive framework to organize work and manage people more effectively. His list of management principles remains relevant today because:

- They are applicable across all levels of management and departments.
- They offer timeless guidance, even in the face of emerging new theories.



- Fayol is still regarded as a pioneer in modern management for these foundational ideas.

Let us check these principles of management in detail.

Henri Fayol's 14 Principles of Management with Examples

Below is a detailed description of each principle of management, along with practical examples to help you understand their application in the real world.

1. Division of Labor

Division of labor is a management principle, which involves segmenting activities within an organization into special roles or teams. The system increases efficiency and productivity by concentrating people in one area of activity as suited to their skills and competence. When work is spread over several individuals or groups, each individual or group develops a better understanding. It becomes more competent in its special area, improving quality and quicker turnaround times.

Example: To explain it more straightforwardly, let's take any fast food joint like McDonald's or Burger King. Here, one person takes the order, the second assembles the burger, the third prepares the fries, the fourth readies the drink, and the first serves the entire order.

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2. Authority and Responsibility

Fayol defines authority as “the right to give orders and obedience,” where the worker is responsible for complying with the order. Both **authority and responsibility** must be balanced. The managers should be able to ensure that their tasks are being done without fail.



Example: A company manager orders his employees to go to work the next day at an item exhibition. Therefore, they are responsible for complying with the request and showing up on time for the event.



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3. Discipline

The **discipline principle of management** follows the previous principle and depends on obedience and compliance with established rules, that is, on behaving correctly. A culture of mutual respect must be created within teams so that discipline doesn't feel imposed but should be a part of the organizational flow. Good supervision forms the base of the discipline.

Example: If the employees mentioned in the previous example arrive late or wear inappropriate clothing to the event, this principle will not be complied with.

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4. Unity of Command

The chain of command within the teams needs to be clear. **Unity of command** means that every worker will always receive orders from a single boss or superior to avoid duality of information, that is, receiving two contradictory orders and not knowing which one to obey. The unity of command will help ensure no conflicts of authority.

Example: Priya is a secretary in a small family business with two owners, Raj and Mahesh. Five minutes before the end of his workday, Raj asks her to print some sales reports. Shortly after, Mahesh tells her she must go to the bank to deposit some checks.

Who should Priya listen to?

This would be an example of the duality of information, and the “unity of command” principle would not be fulfilled.

5. Unity of Direction

Unity of direction suggests that all employees work towards the goal. All activities must be led by a manager responsible for the plan. Unity of direction is dependent on good organizational skills and planning. There cannot be **unity of command without unity of direction**.

Example: Production activities within a production unit should be supervised and managed by one manager, while its marketing activities, such as advertising, pricing, policy, etc., must be directed by only one manager.

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6. Subordination of Individual Interest

In any organization, the company's interests must always be privileged over the particular interests of the owners and employees. This is called **subordination of individual interest** against the company's interest. It will always be necessary to give more importance to what happens in the company than to personal issues.

Example: Mini was responsible for meeting with a potential client for an event in a community hall on 10th August. Instead, she used the community hall to celebrate her birthday party. This way, she not only missed out on a potential client for her company but also put her reputation at stake.

7. Remuneration



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The salary paid to staff (remuneration) must be equitable, fair, and guaranteed so that all company employees can perform the same task.

Remuneration is a critical principle in management that emphasizes the importance of fair and equitable pay structures within an organization. According to Henri Fayol, remuneration should be competitive and reflect the value of the work performed by employees. This principle asserts that all employees performing similar tasks should receive comparable compensation, which would foster a sense of fairness and motivation among the workforce.

Example: A company's salespeople are paid a 3% commission as a sales award, but a newly hired employee is paid only 2%. In other words, this principle would not be fulfilled in this case.

It is also good to emphasize that there are still salary inequities due to gender issues, where women often earn less than men for the same positions and responsibilities.



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8. Degree of Centralization

The level of **centralization** suggests the extent of decision-making concentrated at the top levels of an organization versus being decentralized and diffused at the lower levels. There is a central structure of an organization where top executives or managers make most of the key decisions without any delegation at the lower level. All of these can have a significant impact on the problems of organizational efficiency, organizational responsiveness, and employee participation.

Example: Centralization is very common in SMEs (small and medium-sized enterprises), where the owners generally make most of the decisions. They do not delegate them or involve middle management or other employees.

9. Scalar Chain

The **scalar chain principle of management** suggests that hierarchy is the order in the command lines from the highest levels. In this hierarchy, the directors and managers are at the top, the middle managers (bosses and supervisors) are in the middle, and the lower-level employees are at the bottom. Hierarchy defines authority and responsibility.

Example: The lines of the hierarchy are evident in defence services with different degrees of importance. For instance, the army hierarchy is as follows: Field Marshal, General, Lieutenant General, Major General, Brigadier, Colonel, Lieutenant Colonel, etc.





Span of Management – Explore its Meaning, Important... Types and Common Factors

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10. Order

The **principle of order** suggests that there should be a fixed place for everything and everyone, and everything and everyone should be in their place. This will lead to improved productivity and efficiency.

This aligns with the **scientific management theory**.

Example: Tools and equipment are not ordered in a company dedicated to manufacturing auto parts in the workshop. The staff also does not have a fixed place of work assigned, and each does different tasks without an assigned role. This example defies all the components of the principle of order.

11. Equity

In any company, consistently achieving the employees' loyalty requires treating them in a friendly manner, without any preferences, and fairly. **Equity is a combination of kindness and justice**. Equity also makes it essential to discuss the importance of gender equality.



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This means men and women can access a position and receive the same salary.

Example: Maxine is a manager at a production workshop. She allows an employee with whom she plays golf on weekends to choose the simplest job, and she allocates a more challenging job to another colleague with whom she doesn't get along.

Considering that Maxine is biased in her professional behaviour, the Fayol principle of equity would not be fulfilled in this situation.



Difference Between Equality And Equity

By promoting equality and equity in the workplace, organisations can create a more inclusive and supportive environment where all employees can thrive, leading to employee satisfaction, engagement, and overall business...[read more](#)

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12. Stability of Tenure of Personnel

Fayol argues that it is essential to ensure that employees remain stable in their positions with the company for a long time and avoid staff turnover as much as possible. The idea of the **stability of tenure of personnel** is to inculcate a sense of job security and loyalty in the teams so they don't think of leaving the organization. The sense of job insecurity is directly proportional to low labour efficiency and the high cost of training a new person to carry out their tasks.

Example: Info Edge India Limited awards its employees for their contribution after they achieve a benchmark period (five years, ten years, and so on). This fosters loyalty toward the organization and encourages employees to contribute their best.



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13. Initiative

Fayol defines **initiative** as “the ability to see a plan and ensure its success.”

Extending this definition, we can add that initiative is linked to people’s ability to propose, develop, or devise projects that improve current situations and the chances of meeting business goals with lesser costs and time.

Example: Alex is a production manager in a textile factory. He devised a plan to improve the manufacturing process and reduce costs by 2%, taking the initiative to achieve business goals more efficiently.

14. Esprit de Corps

Esprit de Corps is a French term that means “Team Spirit.” Therefore, the management should create unity, cooperation, and team spirit among employees. Managers are responsible for fostering an environment of mutual trust, understanding, and empathy. Working as a team will achieve more meaningful results than working independently. Therefore, it will be essential to achieve unity and harmony among employees.

Example: The best example of Esprit de Corps is in military combat units. These units take pride in inspiring enthusiasm and devotion and working together to defeat their



counter units.

To Summarize

14 Principles of Management

01

Division of Labor

Specialization of tasks increases efficiency & expertise

02

Authority & Responsibility

Managers give orders; employees comply with responsibilities

03

Discipline

Adherence to rules and respectful behavior within teams

04

Unity of Command

One employee receives orders from one superior

05

Unity of Direction

Activities align toward a common goal under one manager

06

Subordination of Individual Interest

Organizational interests precedence over



personal

07

Remuneration

Fair and equitable pay for employees

08

Degree of Centralization

Balance decision-making between
management levels

09

Scalar Chain

Clear hierarchy defines lines of authority

10

Order

Everything and everyone in their proper place

11

Equity

Fair and impartial treatment of employees

12

Stability of Tenure

Job security reduces turnover and builds loyalty

13

Initiative

Employees propose and implement
improvement ideas

14

Esprit de Corps

Foster teamwork and unity among employees



Conclusion

Fayol's 14 principles of management are a comprehensive set of guidelines that can help managers improve their organizations' performance. These principles are still relevant, particularly in organizational structure, employee relations, and operational efficiency. For instance, the manufacturing sector consistently applies the division of work and scalar chain principles, optimizing production efficiency. In contrast, technology firms often emphasize initiative and decentralization to stay agile and innovative.

We hope this article on Henri Fayol's 14 principles of management with examples helped you understand how you can manage your teams, plan, organize, control, coordinate, and make better decisions toward a common business objective.

FAQs

What are the principles of administrative management?	→
What are some potential challenges in applying Fayol's principles?	→
How do Fayol's principles compare to other management theories?	→
What are Henri Fayol 14 Principles of Management?	→
How does the "Scalar Chain" principle help in avoiding communication bottlenecks in large organizations?	→
How can organizations promote "Esprit de Corps" among remote or geographically	→



dispersed teams?

What are some strategies for applying the "Subordination of Management to Authority" principle to prevent misuse of power within an organization?



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